

Contractor vetting checklist, payment protection strategies, fraud prevention — Action Checklist

PRINT THIS PAGE AND KEEP IT SOMEWHERE VISIBLE

VERIFY CREDENTIALS BEFORE SIGNING

- ☐ **Verify Credentials Before Signing, Search your state's contractor licensing board website and run a search on the contractor's license number before signing anything - an expired or suspended license is an automatic disqualification that eliminates your recourse if things go wrong.:** Verify Credentials Before Signing, Search your state's contractor licensing board website and run a search on the contractor's license number before signing anything - an expired or suspended license is an automatic disqualification that eliminates your recourse if things go wrong.
- ☐ **Verify Credentials Before Signing, Confirm the contractor's license type matches the specific work being performed, because a general contractor's license typically doesn't cover electrical or plumbing work in most states.:** Verify Credentials Before Signing, Confirm the contractor's license type matches the specific work being performed, because a general contractor's license typically doesn't cover electrical or plumbing work in most states.
- ☐ **Verify Credentials Before Signing, Request a certificate of insurance and call the insurance company directly on the certificate to verify the policy is currently active and hasn't been cancelled or expired.:** Verify Credentials Before Signing, Request a certificate of insurance and call the insurance company directly on the certificate to verify the policy is currently active and hasn't been cancelled or expired.
- ☐ **Verify Credentials Before Signing, Ask to be added as an additional insured on the contractor's liability policy, because any legitimate contractor will have their insurer add you without hesitation and this protects you from liability if injuries occur on your property.:** Verify Credentials Before Signing, Ask to be added as an additional insured on the contractor's liability policy, because any legitimate contractor will have their insurer add you without hesitation and this protects you from liability if injuries occur on your property.

STRUCTURE PAYMENTS TO PROTECT YOURSELF

- **Structure Payments to Protect Yourself, Require all payments to be tied to completed project milestones rather than given upfront, so a contractor who disappears still owes you more work than money they've taken.:** Structure Payments to Protect Yourself, Require all payments to be tied to completed project milestones rather than given upfront, so a contractor who disappears still owes you more work than money they've taken.
- **Structure Payments to Protect Yourself, Never release the final payment until after a thorough final inspection and written sign-off, because releasing the last payment before work is complete eliminates your leverage when problems emerge.:** Structure Payments to Protect Yourself, Never release the final payment until after a thorough final inspection and written sign-off, because releasing the last payment before work is complete eliminates your leverage when problems emerge.
- **Structure Payments to Protect Yourself, Withhold at least 25-30% of the total project cost as your final payment, because maintaining substantial financial leverage ensures contractors prioritize finishing your project correctly.:** Structure Payments to Protect Yourself, Withhold at least 25-30% of the total project cost as your final payment, because maintaining substantial financial leverage ensures contractors prioritize finishing your project correctly.
- **Structure Payments to Protect Yourself, Get written receipts for every payment made with the contractor's signature and the date clearly documented, because verbal agreements about payments mean nothing without paper proof.:** Structure Payments to Protect Yourself, Get written receipts for every payment made with the contractor's signature and the date clearly documented, because verbal agreements about payments mean nothing without paper proof.

BUILD COURT-READY DOCUMENTATION

- **Build Court-Ready Documentation, Take dated photographs of work progress at each major milestone and before any new phase begins, creating visual evidence that establishes exactly what condition your property was in at every stage.:** Build Court-Ready Documentation, Take dated photographs of work progress at each major milestone and before any new phase begins, creating visual evidence that establishes exactly what condition your property was in at every stage.

- **Build Court-Ready Documentation, Send a follow-up email after every verbal conversation summarizing what was discussed and agreed upon, creating a paper trail from conversations that otherwise leave no record.:** Build Court-Ready Documentation, Send a follow-up email after every verbal conversation summarizing what was discussed and agreed upon, creating a paper trail from conversations that otherwise leave no record.
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- **Build Court-Ready Documentation, Keep all contracts, change orders, invoices, and receipts in a dedicated folder organized chronologically, because courts rule in your favor when you can present organized documentation of what was agreed to and delivered.:** Build Court-Ready Documentation, Keep all contracts, change orders, invoices, and receipts in a dedicated folder organized chronologically, because courts rule in your favor when you can present organized documentation of what was agreed to and delivered.
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- **Build Court-Ready Documentation, Document every complaint or issue in writing to the contractor with a date stamp, because a written record of problems proves you gave the contractor opportunity to fix issues before taking legal action.:** Build Court-Ready Documentation, Document every complaint or issue in writing to the contractor with a date stamp, because a written record of problems proves you gave the contractor opportunity to fix issues before taking legal action.
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